

**SUPERIOR COURT OF THE STATE OF CALIFORNIA
IN AND FOR THE COUNTY OF SAN MATEO**

Law and Motion Calendar
Honorable David A. Silberman
800 North Humboldt Street, San Mateo, CA 94401
Department 11, Courtroom G
Monday, July 6, 2026, at 2 pm

If you intend to appear on any case on this calendar, you must give notice by 4:00 pm the court day before the hearing to the newly assigned department pursuant to California Rules of Court, Rule 3.1308(a)(1), and San Mateo County L.R. 3.403(b).

Failure to comply with notice as outlined will result in no oral presentation.

Notice of Appearance and Courtesy Copies

1. Email Dept11@SanMateoCourt.org before 4:00 pm the court day before with a copy to all parties or their counsel of record. The email must include the name of the case, the case number, and the name of the party contesting the tentative ruling.
2. Courtesy Copies: You must email a copy of any reply brief, or an Opposition to a Motion for Summary Judgment in an Unlawful Detainer matter to:
LawAndMotionReplyBriefs@SanMateoCourt.org

Day of Hearing

Appearances can be In Person or Remote. If appearing remotely by Zoom, please use your first and last name and mute your audio until your case is called. All parties must use a device with a camera if you are appearing remotely. Please login to the zoom hearing by 1:50 pm.

Remote Appearance Zoom Information

RECORDING OF A COURT PROCEEDING IS STRICTLY PROHIBITED.

<https://sanmateocourt.zoomgov.com/> Meeting ID: 161 964 0802 Password: 734616

TO ASSIST THE COURT REPORTER, the parties are ORDERED to: (1) state their name each time they speak and only speak when directed by the Court; (2) not to interrupt the Court or anyone else; (3) speak slowly and clearly; (4) connect from a computer if at all possible, rather than a cell phone; (5) if a cell phone is absolutely necessary, the parties must be stationary and not driving or moving; (6) no speaker phones under any circumstances; (7) provide the name and citation of any cases referenced; and (8) spell all names, even common names.

Case	Title / Nature of Case
2:00 PM LINE 1 21-CIV-04741	MICHAEL D. LIBERTY VS. BANK OF THE WEST, ET AL
MICHAEL D. LIBERTY RONALD O'CONNELL	PRO/PER EDWARD S. ZUSMAN

SARAH HILLHOUSE'S MOTION FOR SUMMARY JUDGMENT OR, IN THE ALTERNATIVE, SUMMARY ADJUDICATION

TENTATIVE RULING:

On its own motion the Court finds good cause and continues the hearing date on this motion from July 6, 2026 to July 13, 2026 pursuant to Section 437c(a)(3) to provide the Court more time to evaluate the arguments and evidence, recognizing that it means that the motion will be heard only 29 days before the August 11, 2026 trial date.

2:00 PM

LINE 2

21-CIV-04741

MICHAEL D. LIBERTY VS. BANK OF THE WEST, ET AL

MICHAEL D. LIBERTY
RONALD O'CONNELL

PRO/PER
EDWARD S. ZUSMAN

KRISTINA HILLHOUSE'S MOTION FOR SUMMARY JUDGMENT OR, IN THE ALTERNATIVE, SUMMARY ADJUDICATION

TENTATIVE RULING:

Defendant Kristina Hillhouse's Motion for Summary Judgment is GRANTED pursuant to Code Civ. Proc. Section 437c, and the alternative Motion for Summary Adjudication is accordingly moot for the reasons provided below.

Plaintiff requests judicial notice of the Order filed January 11, 2024 in this action, sustaining-in-part and overruling-in-part Defendant BMO Bank's Demurrer to Plaintiff's SAC. As part of the Court file in this case, the Order may be referenced without judicial notice being taken. However, to the extent necessary, the request is granted pursuant Evidence Code section 452(d).

Defendant Kristina Hillhouse requests judicial notice of documents filed in this action or in the family law action Case No. 17-FAM-00584. Plaintiff objects that the documents are irrelevant and are hearsay. Again, to the extent that it is even necessary, the documents are properly subject to judicial notice as documents of a court of this state, and the request is granted pursuant Evidence Code section 452(d), except to the extent that they are offered for the truth of any hearsay statements contained therein.

Evidentiary Objections

All Plaintiff's objections to Defendant's evidence, many of which border on frivolous, are OVERRULED.

All Defendant's objections to Plaintiff's Declaration in support of the Opposition are SUSTAINED on some or all of the grounds raised by Plaintiff, including but not limited to lack of foundation and speculation, except as to Objection No.'s 11-13, which are OVERRULED in part. While the "evidence" objected to in 11-13 is of questionable relevance and raises hearsay issues, Mr. Liberty can, at least in the abstract, testify about what Sarah Hillhouse told him.

Background

According to the operative Fourth Amended Complaint, Plaintiff is an attorney who employed Defendant Sarah Hillhouse (his onetime girlfriend) as an independent contractor, a bookkeeper. Defendant Kristina Hillhouse is Sarah Hillhouse's daughter, who served as Plaintiff's assistant temporarily. Plaintiff alleges that Defendants Hillhouse embezzled approximately \$800,000 from Plaintiff's retirement account, or "defined benefit plan," using secret bank transfers, and also embezzled from Plaintiff's business checking account. Defendant Bank of the West was a banking enterprise in San Mateo which is alleged to have failed to prevent the forgeries, embezzlements, and wrongful withdrawals, as well as misrepresenting to Plaintiff that he would be notified each time a withdrawal was made from his defined benefit plan. Defendant Pencomp Inc., ("Pencomp") whose president is Defendant Ronald O'Connell, is a third party

administrator responsible for setting up and administering Plaintiff's defined benefit plan. Defendant Clifton Lurkis (and Defendant Lurkis, Joyce & Bove LLP) was Plaintiff's divorce attorney.

Legal Standard

Cal. Code of Civil Procedure Section 437c(b)(1) provides that a Motion for Summary Judgment "shall be supported by affidavits, declarations, admissions, answers to interrogatories, depositions, and matters of which judicial notice shall or may be taken." Under *Aguilar v. Atlantic Richfield* (2001) 25 Cal.4th 826, the party moving for summary judgment has the burden of production to make a prima facie showing that there is no triable issue of any material fact. The burden then shifts to the nonmoving party to make a prima facie showing that there is a triable issue of material fact.

"Courts deciding motions for summary judgment or summary adjudication may not weigh the evidence but must instead view it in the light most favorable to the opposing party and draw all reasonable inferences in favor of that party." *Weiss v. People ex rel. Dep't of Transportation* (2020) 9 Cal.5th 840, 864 (citations omitted). Summary judgment "is drastic and should be used with caution in order that it may not become a substitute for existing methods in the determination of issues of fact." *Eagle Oil & Ref. Co. v. Prentice* (1942) 19 Cal.2d 553, 556. Ultimately, if the Court feels any uncertainty as to whether a grant of summary judgment is proper, "any doubts about the propriety of summary judgment must be resolved in favor of the opposing party." *Mateel Environmental J. Foundation v. Edmund A. Gray Co.* (2003) 115 Cal.App.4th 8, 17 (citations omitted).

Discussion

The evidence supporting Defendant's Separate Statement of Material Facts establishes a prima facie showing that there is no triable issue of material fact and Defendant Kristina Hillhouse is entitled to judgment as a matter of law. Perhaps oversimplified, Defendant Kristina Hillhouse's evidence is that she was a young, temporary unpaid intern that never took any of Plaintiff's money or was aware that anybody else (including her mom) wrongfully did. Those facts defeat all of Plaintiff's causes of action and theories. The burden therefore shifted to Plaintiff to show a triable issue of material fact.

Plaintiff does not come remotely close to meeting his burden. His opposition is based on his declaration, which has almost no evidentiary value, replete with purported factual assertions unsupported by any foundation. No admissible portion (and there is very little that is admissible) of Plaintiff's declaration creates a triable issue of material fact as to any cause of action or any legal theory.

Plaintiff argues that Defendant Kristina Hillhouse has not addressed "secondary liability theories" of aiding and abetting and conspiracy alleged in the 4th amended Complaint at paragraphs 11-13. Opp. at p. 2:1-6. Defendant responds that UMF No.'s 4-13 and 15 show that to the extent any tort was actually committed, Kristina did not provide substantial assistance nor give substantial encouragement. Reply at p. 3:14-16. Based on those facts, as to which Plaintiff has not demonstrated any triable issue of material fact, the secondary liability theories, to the extent they are legally viable, are also factually unsupported. Plaintiff's position that there is overwhelming evidence of Defendant Kristina Hillhouse's "fraud, conversion, breach of fiduciary duty – and constructive fraud -- and embezzlement" is absurd. Opp. at p. 2:7-9. Plaintiff basically speculates that because Kristina was Sarah's daughter and because Kristina (may have) benefitted from money that Sarah purportedly took, Kristina must have known and/or aided the alleged theft. His speculation is not evidence.

Defendant Kristina Hillhouse's Motion for Summary Judgment is accordingly GRANTED.

Procedural Noncompliance

It is of note that Defendant argues that the MSJ should be granted because Plaintiff's Opp. fails to comply with procedural requirements. While Plaintiff raises legitimate concerns, the Motion is not granted on this basis.

Collateral Estoppel/Special Benefit Doctrine

Defendant also argues that the MSJ should be granted based on collateral estoppel or pursuant to the Special Benefit Doctrine. The Motion is not granted based on either of these theories.

Any party who contests a tentative ruling must email Dept.11@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the prevailing party shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to California Rules of Court, rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the California Rules of Court. Please note that Local Rule 3.403(b)(iv) states in part "prevailing party on a tentative ruling is required to prepare a proposed order REPEATING VERBATIM the tentative ruling" (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the Court.

2:00 PM

LINE 3

23-CIV-00926

CATHERINE RODRIGUEZ VS. NISSAN NORTH AMERICA, INC., ET AL

CATHERINE RODRIGUEZ
NISSAN NORTH AMERICA, INC.

ROGER KIRNOS
JASON M. RICHARDSON

PLAINTIFF'S MOTION TO BE RELIEVED AS COUNSEL

TENTATIVE RULING:

The unopposed motion of Jacob Cutler and Knight Law Group to be relieved as counsel of record for plaintiff Catherine Rodriguez is denied without prejudice for lack of proof that the motion was properly served on plaintiff and all other parties who have appeared in the action. However, if counsel (provides notice) and appears and provides proof (that it has also filed in advance of the hearing) that plaintiff and all other parties who have appeared in the action received proper notice of today's hearing, the court will grant the motion.

The Proof of Service attached to the notice of motion indicates the moving papers were served electronically and by personal service. With respect to the electronic service, the POS indicates it was accomplished via the Case Anywhere Service System pursuant to a ruling in Sacramento Superior Court Case No. JCCP 4924. However, the record in this case does not indicate that it is part of the coordinated action.

To the extent the POS also indicates the moving papers were personally served, it states only that the declarant caused the documents to be sent to a court services provider to be personally served. There is no declaration from the person who actually accomplished the service indicating how and when it occurred.

Furthermore, the motion was originally set for hearing on January 25, 2027. It was advanced to the current date by an Order Shortening Time. To date, there is no proof that the Order Shortening Time was served on plaintiff.

Any party who contests a tentative ruling must email Dept.11@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the prevailing party shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to California Rules of Court, rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the California Rules of Court. Please note that Local Rule 3.403(b)(iv) states in part "prevailing party on a tentative ruling is required to prepare a proposed order REPEATING VERBATIM the tentative ruling" (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the Court.

2:00 PM

LINE 4

23-CIV-04063

MARIGOLDYZP I LLC VS. 88 TUSCALOOSA AVE LLC, ET AL

MARIGOLDYZP I LLC
ALI SADEGHI

CATHERINE S. ROBERTSON
MATTHEW S. KENEFICK

CROSS-DEFENDANTS DELIA FEI AND RON GABLE'S DEMURRER TO PIERRE BULJAN AND ELIZABETH BULJAN'S 2ND AMENDED CROSS-COMPLAINT

TENTATIVE RULING:

The Demurrer to Pierre Buljan and Elizabeth Buljan's 2nd Amended Cross-Complaint (the "Demurrer") brought by Cross-Defendants Delia Fei and Ron Gable (herein, "Cross-Defendants") is **OVERRULED** in its entirety.

Cross-Defendants' Request for Judicial Notice is **DENIED**, but to the extent it is necessary, the Court takes judicial notice of its own records *sua sponte*.

Background

It is alleged that on or about January 1, 2021, Plaintiff MarigoldYZP I LLC ("Marigold") and Defendant 88 Tuscaloosa Ave LLC ("Tuscaloosa") executed a purchase agreement and joint escrow instructions for the purchase of real property located at 88 Tuscaloosa Avenue, Atherton, California (the "Property"). The final sale price for the Property was \$37,000,000, with a \$1,110,000 deposit. Marigold paid Tuscaloosa the deposit. Marigold then provided \$8,440,000 toward construction, and agreed to provide an additional \$20,000,000, both secured by the Property. On December 18, 2021, the parties therefore executed a promissory note for \$28,440,000 with a maturity date of February 1, 2022, a loan guaranty executed by Defendant Sadeghi (the general contractor), an indemnity agreement, and a deed of trust, assignment of rents, security agreement, and fixture filing.

In March 2022, the city of Atherton issued a Stop Notice due to the failure of Eighty8 Home LLC (Defendant Sadeghi's company) to meet the deadline to complete construction and continuing delays. In order to restart construction, Tuscaloosa and Marigold executed an additional unsecured Promissory Note for up to \$2,500,000 and personal guaranties by Defendants Sadeghi and Buljan. Marigold provided two additional unsecured loans toward the construction in the amounts of \$360,000 and \$55,000.

Marigold contends that Tuscaloosa and Eighty8 Home LLC have failed to complete construction, have failed to satisfy their monetary obligations, and are now demanding an additional \$8,100,000 to complete the construction and close escrow, which Marigold has refused. Defendant Sadeghi knowingly caused Marigold to continue its funding based on material misrepresentations in order to pay personal and business expenses, and when no further payment was forthcoming, ceased all construction, refused to close escrow, and refused to permit Marigold to access the property.

Defendants Pierre and Elizabeth Buljan (collectively, "Cross-Complainants" or the "Buljans") filed a Cross-Complaint against Marigold, Hongyu Zhang (aka Sherry Yuan, an individual and sole member of Marigold), Erin Yuan, Delia Fei, Ali Sadeghi (an individual and sole managing member of 88 Tuscaloosa Ave LLC and Eighty8Home LLC), and Ron Gable. The Cross-Complaint alleges that the Cross-

Defendants made false representations, concealed information, and otherwise deceived the Cross-Complainants in order for them to make a loan guarantee in favor of Marigold in the amount of \$2,500,000. Cross-Complainants allege that they were told that the loan would be used to complete construction of the residence. Instead, the Cross-Defendants never intended for the loan to be used for this purpose, and fraudulently induced Mr. Buljan into making this guarantee knowing that construction costs were so high that the close of escrow would never result in sufficient funds to satisfy the loan guaranteed by Mr. Buljan.

Cross-Defendants Delia Fei and Ron Gable (herein, “Cross-Defendants” or the “Compass Agents”), who are not parties to the underlying Complaint, filed a motion for judgment on the pleadings, which the Court denied. May 20, 2025 Order.

The First Amended Cross-Complaint (the “FACC”) was filed June 26, 2025. Two Answers thereto were filed on July 14, 2025, and Cross-Defendants filed a demurrer thereto on July 29, 2025. The demurrer to the FACC was a general demurrer only: the ground of uncertainty was mentioned, but not pursued. This Court adopted its uncontested Tentative Ruling sustaining that demurrer as to both causes of action and both Cross-Defendants, with leave to amend. Minute Order, February 23, 2026.

In the interim, this Court granted the Motion for Summary Judgment brought by Cross-Defendant Elizabeth Buljan (November 24, 2025 Order”), and entered judgment in her favor. January 8, 2026 Judgment.

Cross-Complainant Pierre Buljan alone filed a Second Amended Cross-Complaint (the “SACC”) on March 13, 2026, to which Cross-Defendants now demur, asking that their Demurrer be sustained without leave to amend.

Clarification Concerning the Instant Demurrer

The Notice of the instant Demurrer states that Cross-Defendants demur to the two causes of action of the SACC for failure to state facts sufficient to state a cause of action (Demurrer, 2:11-14), which sounds in general demurrer. Code Civ. Proc., § 430.10, subd. (e). The Demurrer itself sets forth this ground only. Demurrer, 3:7-18. The ground of uncertainty was earlier mentioned (*id.*, 2:9), but appears not to have been pursued. Hence, the instant Demurrer is treated as a general demurrer.

Legal Standard

A general demurrer under Section 430.10(e) of the Code of Civil Procedure for failure to state a cause of action challenges defects that appear on the face of the pleading under attack; or from matters outside the pleading that are judicially noticeable. *Blank v. Kirwan* (1985) 39 C3d 311, 318.

“It is not necessary that the cause of action be the one intended by plaintiff. The test is whether the complaint states any valid claim entitling plaintiff to relief. Thus, plaintiff may be mistaken as to the nature of the case, or the legal theory on which plaintiff can prevail. But if the essential facts of some valid cause of action are alleged, the complaint is good against a general demurrer.” Cal. Prac. Guide Civ. Pro. Before Trial Ch. 7(I)-A (citations omitted)

“For the purpose of testing the sufficiency of the cause of action, the demurrer admits the truth of all material facts properly pleaded (i.e., all ultimate facts alleged, but not contentions, deductions or conclusions of fact or law).” Cal. Prac. Guide Civ. Pro. Before Trial Ch. 7(I)-A (citations omitted).

Discussion

At a minimum, the SACC states a cause of action for fraud:

The elements of a cause of action for fraud based on concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage. *Jones v. ConocoPhillips Co.* (2011) 198 Cal.App.4th 1187, 1198.

Though fraud must be pleaded specifically (*Lazar v. Superior Ct.* (1996) 12 Cal.4th 631, 645), this heightened pleading standard is relaxed when the allegations indicate that the defendant must necessarily possess full information concerning the facts of the controversy or when the facts lie more in the knowledge of the opposite party. *Tarmann v. State Farm Mutual Automobile Ins. Co.* (1991) 2 Cal.App.4th 153, 158.

Cross-Defendants understandably do not focus on this exception to the heightened pleading standard for fraud, which applies where, as here, the information about Cross-Defendants' alleged wrongdoing lies largely within Cross-Defendants' knowledge (*see, e.g., SACC*, 1:9-18, ¶¶ 23-24, 27, 29-35, 37-38). "[I]t is harder to apply [the heightened pleading requirement] to a case of simple nondisclosure. 'How does one show "how" and "by what means" something didn't happen, or "when" it never happened, or "where" it never happened?'" *Alfaro v. Cmty. Hous. Improvement Sys. & Plan. Assn., Inc.* (2009) 171 Cal.App.4th 1356, 1384. In the Court's view, the SACC does sufficiently plead when, where, or in what context Cross-Defendants' alleged misrepresentations were made.

Paragraphs 33 and 34 of the SACC allege: the when ("Just 24 hours before signing the guarantee"; "24 hours before Pierre signed the guarantee"; and "Approximately 24 hours before this call with Mr. Gable, Pierre had the same call with Ms. Fei" (SACC ¶ 34)); the where ("Pierre Bujan and Ron Gable had multiple phone calls"; "Ron unequivocally informed Pierre during this phone call"; and "Pierre had the same call with Ms. Fei"); and the context of recruiting and inducing Cross-Complainant to sign the guarantee (SACC ¶¶ 33-34).

The *Jones* elements are sufficiently pled as against Cross-Defendants, as follows: (1) (*see, e.g., SACC* 1:9-18, & ¶¶ 27-31, 33-35, 38); (2) (*see, e.g., id.*, 1:9-18, & ¶¶ 32, 34, 45); (3) (*see, e.g., id.*, 1:9-18, & ¶¶ 31, 33-34, 38); (4) (*see, e.g., id.*, 1:9-18, & ¶¶ 33-35, 38, 48-51, 64); and (5) (*see, e.g., id.*, 1:9-19, & ¶¶ 39, 53-54, 65-66).

Moreover, as to the second element:

In transactions which do not involve fiduciary or confidential relations, a cause of action for non-disclosure of material facts may arise in at least three instances: (1) the defendant makes representations but does not disclose facts which materially qualify the facts disclosed, or which render his disclosure likely to mislead; (2) the facts are known or accessible only to defendant, and defendant knows they are not known to or reasonably discoverable by the plaintiff; (3) the defendant actively conceals discovery from the plaintiff. *Warner Constr. Corp. v. City of Los Angeles* (1970) 2 Cal.3d 285, 294.

In the Court's view, all three circumstances are sufficiently alleged here at the pleading stage.

Cross-Defendants' Arguments Specifically As to Cross-Defendant Gable

As to Cross-Defendant Gable, Cross-Defendants assert that, "The alleged fraud against Mr. Gable still is not pleaded with the specificity required by *Lazar v. Superior Court* (1996) 12 Cal.4th 631—the SAXC pleads Cross-Complainant's question verbatim but paraphrases Mr. Gable's response." Demurrer, 4:13-15. However, as discussed above, the heightened pleading standard of *Lazar* "is relaxed when the allegations indicate that 'the defendant must necessarily possess full information concerning the facts of the controversy' or 'when the facts lie more in the knowledge of the opposite party[.]'" *Tarmann*, 2 Cal.App.4th at 158 (internal quotations omitted) (citations omitted).) Here, Cross-Defendants must necessarily possess full information concerning a phone call between Cross-Complainant and a Cross-Defendant.

Further, the Court disagrees with one of Cross-Defendants' central premises, to wit that: "*Lazar* and *Tarmann* require a plaintiff alleging fraud to plead the actual words used. (*Lazar*, 12 Cal.4th at 645; *Tarmann*, 2 Cal.App.4th at 157.)." Demurrer, 10:17-18; 9:1-5.

The Court of Appeal in *Tarmann* explains that the requirement of specificity in a fraud action against a corporation requires the plaintiff to allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. *Tarmann*, 2 Cal.App.4th at 157. But even this requirement to allege "what they said" does not mean that a plaintiff alleging fraud must recall and plead oral representations verbatim. Moreover, *Lazar* explains that this requirement in *Tarmann* is even greater than the ordinary requirement of specificity, because it applies in a context that is not found here:

This particularity requirement necessitates pleading facts which 'show how, when, where, to whom, and by what means the representations were tendered.'" A plaintiff's burden in asserting a fraud claim against a corporate employer is even greater. In such a case, the plaintiff must "allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written." *Lazar*, 12 Cal.4th 631 at 645.

Thus, the standard to which Cross-Defendants would hold the SACC is not found in the cases which they cite.

The Court further (previously) noted as to its prior ruling on Cross-Defendants' demurrer to the FACC:

However, the FACC does not plead the alleged misrepresentation with the specificity required by *Lazar*. Although the pleading identifies the speaker (Gable), the recipient (Buljan), the substance of the statement, and that it occurred via telephone shortly before October 15, 2022, it does not allege a specific date, a sufficiently narrowed time frame, or additional contextual details concerning the circumstances of the communication. Given the heightened pleading standard for fraud, these omissions are material. Minute Order, February 23, 2026.

Here, while the SACC does not allege a specific date, the Court required this disjunctively with a sufficiently narrowed timeframe. The SACC now alleges the latter, since Cross-Complainant's quoted call with Cross-Defendant Gable is alleged to have occurred "24 hours before Pierre signed the guarantee" (and the SACC now alleges a similar call with Cross-Defendant Fei, "[a]pproximately 24 hours before this call with Mr. Gable"). SACC ¶ 34. The FACC had lacked details from these two

alleged phone calls, had not alleged such a call with Cross-Defendant Fei, and had alleged the call with Cross-Defendant Gable to have occurred “just days before Pierre signed the guarantee[.]” FACC ¶ 35. Further, the added verbatim pleading of Cross-Complainant’s question provides additional contextual details concerning the circumstances of the communication, which further specify the meaning and import of Cross-Defendant Gable’s described response.

Again, the allegations of the SACC are to be taken as true. Cross-Defendants attempt to argue that the allegations of the SACC “confirm” that the insufficiency of the alleged \$2.5 million guarantee was driven by future conduct, but this is Cross-Defendants’ interpretation of the allegations, which runs counter to the allegations themselves when taken as true. Demurrer 6:4-5. For instance, the SACC alleges that “Ron unequivocally informed Pierre during this phone call 24 hours before Pierre signed the guarantee, that this amount was sufficient despite clearly having been told and shown that \$2.5 million was insufficient by Ali Sadeghi.” SACC ¶ 34. Adjudication of factual questions is inappropriate in ruling on demurrer. *Burnett v. Chimney Sweep* (2004) 123 Cal.App.4th 1057, 1068-69. Taking the language above to be true, the allegation is that the \$2.5 million had already been shown to be insufficient. Cross-Defendants will have ample opportunity to challenge the timing, character, and even the existence of the alleged conversations through discovery and, if necessary, trial.

Cross-Defendants’ Arguments Specifically As to Cross-Defendant Fei

As to Cross-Defendant Fei, Cross-Defendants assert that the SACC without explanation adds a new allegation that Cross-Defendant Fei answered the same question that Cross-Defendant Gable had. “That belated allegation contradicts the FAXC, which expressly identified Mr. Gable as the sole ‘individual’ who personally represented anything to Cross-Complainant, and should be disregarded as sham.”

The paragraph to which Cross-Defendants appear to refer alleges in its entirety that:

Even though Ron Gable was the individual who personally represented to Pierre Buljan the false purpose of the Guarantee and the false sufficiency of its amount for the stated purpose, Ron Gable did so as the agent of and at the direction of Eric Yuan, Sherry Yuan and MARIGOLDYZP I LLC. FACC ¶ 45.

If the Court were to apply to the SACC the canon of statutory interpretation, *expressio unius est exclusio alterius*, Cross-Defendants’ point may be well taken that the italicized language above specifies Cross-Defendant Gable as “the” person who made the representation—not just that he did, or that he was among those who did. Thus, the addition of an allegation thereafter that Cross-Defendant Fei made the same representation colorably might be taken to contradict the FACC. However, it is also possible that Cross-Complainant has simply better recalled or understood the significance of Cross-Defendant Fei’s alleged representations to him, which he may have thought simply to be redundant before. While Cross-Defendant’s argument is reasonable and understandable—it ultimately goes to the credibility of the allegations of the SACC, which are not the concern of the Court on demurrer.

Moreover, Cross-Defendants’ quoted authority for this application of the sham pleading doctrine provides that the “general rule, as the Court of Appeal noted, is that material factual allegations in a verified pleading that are omitted in a subsequent amended pleading without adequate explanation will be considered by the court in ruling on a demurrer to the later pleading.” *Shoemaker v. Myers* (1990) 52 Cal.3d 1, 12 (citation omitted). Thus, the Court considers the disappearance of facts without adequate explanation in ruling on the Demurrer, but is not bound thereby to sustain it. It also may be more apt to describe the change from the FACC to the SACC as the addition of facts, rather than their disappearance, but again, this implicates a credibility issue inappropriate to ruling on demurrer.

The SACC also includes an alleged quotation of Cross-Defendant Fei's own words, with which Cross-Defendants take issue for being merely a phrase accompanied by Cross-Complainant's paraphrase of the rest of her speech on the alleged call. Again, the Court disagrees with the premise that allegations must include verbatim statements.

This Court previously reasoned that:

While a duty to disclose may arise under limited circumstances, the FACC does not allege particularized facts establishing that Fei owed such a duty to Buljan. The pleading reflects that Fei acted as an agent for the Yuans and circulated budget communications internally. It does not allege that Fei had any direct communications with Buljan, that she undertook to provide him information, or that she otherwise entered into a transactional or fiduciary relationship with him. February 23, 2026 Minute Order.

But the SACC now pleads that Cross-Defendant Fei communicated directly with Cross-Complainant, that she undertook to provide him information and in fact encouraged his involvement in the transaction.

In addition, the Court of Appeal explains that:

[A]ctive concealment of facts and mere nondisclosure of facts may under certain circumstances be actionable without such a [confidential or fiduciary] relationship. For example, a duty to disclose may arise without a confidential or fiduciary relationship where the defendant, a real estate agent or broker, alone has knowledge of material facts which are not accessible to the plaintiff, a buyer of real property. *Kovich v. Paseo Del Mar Homeowners' Assn.* (1996) 41 Cal.App.4th 863, 866 (Kovich) (quotation and citation omitted).)

The duty-bearing relationship in *Kovich* is close to that here, where the Cross-Complainant is an investor in the Property, whose investment was sought by the Cross-Defendant real estate agents or brokers.

This Court previously reasoned that:

The negligent misrepresentation claim likewise fails as to Fei because no affirmative misstatement by her is alleged. Negligent misrepresentation requires a positive assertion of fact made without reasonable grounds for believing it true. Mere silence, in the absence of a well-pled duty to disclose, is insufficient to state a claim. February 23, 2026 Minute Order.

The SACC now includes the required allegations. SACC ¶¶ 34, 44.

Additional Note Regarding the Second Cause of Action

Further, since the Court looks to the facts alleged and not to the Complaint's labels for its causes of action, since the second cause of action incorporates all prior paragraphs of the SACC (SACC ¶ 57), the Motion fails as to each cause of action. Even where the result would be that a cause of action may be taken to be duplicative of others, duplicative pleading need not result in demurrer. *Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 890.

Nonetheless, the SACC also sufficiently pleads negligent misrepresentation. As the Supreme Court of California explained:

For the guidance of trial courts, we suggest the jury be instructed on the elements of negligent misrepresentation as [follows]:

“The representation must have been made with the intent to induce plaintiff, or a particular class of persons to which plaintiff belongs, to act in reliance upon the representation in a specific transaction, or a specific type of transaction, that defendant intended to influence. Defendant is deemed to have intended to influence [its client’s] transaction with plaintiff whenever defendant knows with substantial certainty that plaintiff, or the particular class of persons to which plaintiff belongs, will rely on the representation in the course of the transaction. If others become aware of the representation and act upon it, there is no liability even though defendant should reasonably have foreseen such a possibility.” *Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 414 (quotation and citation omitted).

Here, the SACC clearly alleges that Cross-Defendants made misrepresentations to Cross-Complainant with the intent to induce him to sign the guarantee, which they intended to influence for their financial benefit. See, e.g., SACC 1:9-18, & ¶¶ 23, 27, 32-34, 38.

Note Regarding This Court’s Ruling on the Demurrer to the FACC

Cross-Defendants, at a minimum, imply that parts of the SACC that are identical to the FACC are new. For example, the Demurrer asserts that, “The SAXC, however, now affirmatively alleges facts confirming that the ‘insufficiency’ of the budget was a moving target driven by future conduct that no party could have known with certainty,” citing paragraphs 31 and 36, which are identical to paragraphs 32 and 37 of the FACC, respectively. Cross-Defendants claim this purported newness to overcome the Court’s determination that, “At the pleading stage, the allegation that Gable had access to cost estimates exceeding \$2.5 million is sufficient to avoid dismissal solely on the ground that the alleged statement constitutes nonactionable opinion.” February 23, 2026 Minute Order. This allegation appears in the SACC. (SACC, ¶ 31.) The Court’s prior conclusion stands.

Moreover, Cross-Defendants’ Reply asserts that this Court’s findings reflected in the Minute Order of February 23, 2026, do not apply to the Court’s ruling on the Demurrer to the SACC, which “stands or falls on its own allegations.” Reply 5:21. The Reply thus revisits arguments on which the Court has already ruled. However, the allegations of the SACC consist almost entirely of those of the FACC, so that the Court’s findings as to the sufficiency of those allegations do apply here and the Court does not change its ruling.

Cross-Defendants’ Request for Judicial Notice Is Procedurally Defective

The Court has reviewed Cross-Defendants’ Request for Judicial Notice (“RJN”), which accompanies the Motion, and is made as to four documents described as:

1. The Minute Order of the Court (Hon. Don R. Franchi) entered May 19, 2025, granting Cross-Defendants’ Motion for Judgment on the Pleadings on Cross-Complainant Pierre Buljan’s original Cross-Complaint, with leave to amend.
 2. Cross-Complainant Pierre Buljan’s First Amended Cross-Complaint filed June 26, 2025.
 3. The Tentative Ruling of the Court (Hon. Amarra Lee), adopted as the order of the Court on February 23, 2026, sustaining Cross-Defendants’ demurrer to the First and Second Causes of Action of the First Amended Cross-Complaint, with leave to amend.
-

4. Cross-Complainant Pierre Buljan's Second Amended Cross-Complaint filed March 13, 2026.

The Court notes that the pleadings are not file-stamped and thus are not in the Court's records.

Further, Exhibit 1 is not the Minute Order of the Court entered on May 19, 2025, as described, but instead shows a Tentative Ruling for that date. Exhibit 3 is a Tentative Ruling, but as counsel is aware, such is not an Order of this Court. The Minute Order of February 23, 2026, showing the Tentative Ruling, with the Court's docket entry of that date, "02/23/2026 Tentative ruling adopted and becomes order: [¶] Comment [¶] TENTATIVE IS UNCONTESTED," are more likely the Court's records to which Cross-Defendants intend to direct their request.

Though the defective RJN is denied, the Court nevertheless finds that, to the extent it is even necessary, it may take judicial notice of documents that are part of this Court's file in this case, and does so.

Any party who contests a tentative ruling must email Dept.11@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the prevailing party shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to California Rules of Court, rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the California Rules of Court. Please note that Local Rule 3.403(b)(iv) states in part "prevailing party on a tentative ruling is required to prepare a proposed order REPEATING VERBATIM the tentative ruling" (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the Court.

2:00 PM

LINE 5

23-CIV-04063

MARIGOLDYZP I LLC VS. 88 TUSCALOOSA AVE LLC, ET AL

MARIGOLDYZP I LLC
ALI SADEGHI

CATHERINE S. ROBERTSON
MATTHEW S. KENEFICK

CROSS-DEFENDANTS DELIA FEI AND RON GABLE'S MOTION TO STRIKE PORTIONS OF DEFENDANTS PIERRE BULJAN AND ELIZABETH BULJAN'S 2ND AMENDED CROSS-COMPLAINT

TENTATIVE RULING:

The Court incorporates by reference its tentative ruling overruling Cross-Defendants' demurrer issued herewith.

The Motion to Strike Portions of Defendants Pierre Buljan and Elizabeth Buljan's 2nd Amended Cross-Complaint (the "Motion") brought by Cross-Defendants Delia Fei and Ron Gable (herein, "Cross-Defendants") is DENIED.

The governing statute provides that: The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper:

Strike out any irrelevant, false, or improper matter inserted in any pleading.

Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. Code Civ. Proc. § 436.

Cross-Defendants move to strike the following from the Second Amended Cross-Complaint ("SACC"):

1. Paragraph 55 in its entirety: "In subjecting Pierre Buljan to the wrongful treatment herein described, the Cross-Defendants, each of them willfully and maliciously with the intent to harm Pierre Buljan, and in conscious disregard of Pierre Buljan's rights, acted with oppression, fraud, and/or malice under California Civil Code § 3294. Pierre Buljan is informed, and on that basis alleges, that these willful, oppressive, fraudulent and/or malicious acts as alleged herein above were ratified by the officers, directors and/or managing agents of the Cross-Defendants."

2. The following language from paragraph 56: "As a legal result of Defendants' oppression, fraud and/or malice, Pierre Buljan is entitled, in addition to compensatory damages, to punitive damages under California Civil Code § 3294."

3. Paragraph 3 of the Prayer for Relief: "Punitive damages, according to proof."

Motion at 2:10-20.

Cross-Defendants assert that these pleas for punitive damages are merely conclusory, and thus insufficient. The argument is essentially that since the SACC fails to plead the underlying torts, then it does not meet the heightened pleading standard for punitive damages. The Motion thus fails with the Demurrer.

Accordingly, for the reasons given in the Court's Tentative Ruling on the concurrently set Demurrer, the Motion is DENIED.

Any party who contests a tentative ruling must email Dept.11@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the prevailing party shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to California Rules of Court, rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the California Rules of Court. Please note that Local Rule 3.403(b)(iv) states in part "prevailing party on a tentative ruling is required to prepare a proposed order REPEATING VERBATIM the tentative ruling" (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the Court.

2:00 PM

LINE 6

25-CIV-01108

LANCE WARE VS. ROBERT HELLMAN, ET AL

LANCE WARE
ROBERT HELLMAN

RICHARD D. KEYS
ADAM C. ABRAHMS

DEFENDANTS' DEMURRER TO PLAINTIFF'S SECOND AMENDED COMPLAINT

TENTATIVE RULING:

For reasons addressed below, Defendants' demurrer to Plaintiff's Second Amended Complaint ("SAC") is SUSTAINED as to Plaintiff's claims for Breach of Contract, Fraud, and Negligent Misrepresentation, without leave to amend. Defendants' demurrer is OVERRULED as to Plaintiff's claim for Misappropriation of Trade Secrets.

Defendants' request for judicial notice of the August 29, 2022 LOCAL2U Term Sheet, executed by Plaintiff, Troy Snyder, and Defendant APIF, which Plaintiff's references in the SAC and claims the subsequent alleged oral contract largely follows, is GRANTED.

Background

Plaintiff Lance Ware alleges he and Defendants agreed to create a joint venture that would ultimately be operated through a parent company called Local2U, LLC ("Local2U") and would use equipment installed on United States Postal Service ("USPS") flagpoles on properties owned by Defendant American Postal Infrastructure Fund, L.P. ("APIF"), first through Local2U (West Virginia) LLC ("L2UWV") and later through entities in other states. SAC ¶¶ 17-19.

Plaintiff alleges that in August of 2022, he, Troy Snyder, and Defendant APIF signed a Term Sheet outlining a business plan for their joint venture. SAC ¶ 17. While Plaintiff acknowledges that the Term Sheet provided that it was non-binding and that further written agreement was required, Plaintiff alleges that Bob Hellman, the director of APIF, told Plaintiff that Plaintiff and APIF "had a deal" and the joint venture could move forward, with necessary paperwork to be completed in the near future." SAC ¶¶ 18, 21.

Plaintiff claims that he performed under the alleged contract by disclosing the details of his trade secrets and refining the technology for bringing broadband internet connectivity to rural/underserved areas, sourcing equipment and materials, hiring employees, and overseeing the creation and connection of equipment necessary to implement the wireless broadband program. SAC, ¶¶ 22, 25.

Plaintiff alleges that APIF breached the joint venture contract by failing to perform its duties, including failing to fund the joint venture as agreed upon, failing to deliver post office sites for use as promised, failing to create a "parent entity" or providing Plaintiff with ownership interests as promised, and failing to follow through with grant applications. SAC ¶35. As a result, the venture fell apart by July of 2024 when Hellman stopped taking Plaintiff's calls, effectively terminating the joint venture. SAC ¶ 29. Plaintiff alleges that Defendants have continued to use the technology and trade secrets disclosed to them by Plaintiff, without Plaintiff's consent. SAC, ¶¶ 31, 54.

Order Sustaining Demurrer to FAC

This Court previously sustained Defendants' demurrer as to each claim in Plaintiff's FAC, which largely pled the same facts as the SAC here.

The Court sustained the demurrer as to the breach of contract claim for failure to establish the existence of a written contract, as required by the Terms Sheet preceding the alleged oral contract, and failure to establish "clearly manifested mutual assent to be bound notwithstanding the Term Sheet's express non-binding language." March 3, 2026 Order Sustaining Demurrer. The Court sustained the demurrer as to the Fraud and Negligent Misrepresentation claims, finding that they were contradicted by the written Term Sheet and that Plaintiff failed to plead facts supporting the claims with the requisite specificity and failed to establish justifiable reliance. Finally, the Court sustained the demurrer as to Plaintiff's misappropriation of trade secrets claim for failure to allege the trade secret with sufficient factual specificity, failure to show reasonable attempts to maintain secrecy, and failure to specify the manner in which Defendants improperly acquired, disclosed, or used the trade secret.

The Court granted leave to amend as to all four claims.

Amendments Made in the SAC

Amendments to the "Background Facts" section of the SAC include:

- "Ware (and Snyder) repeatedly asked Hellman to document the terms of their agreement, particularly to confirm Ware's profit sharing rights. Hellman repeatedly promised that he would have APIF's counsel prepare appropriate document (sic.). In July 2023, Hellman (on behalf of American Postal Infrastructure SPV, I, LLC, an affiliate of APIF), Ware and Snyder executed a document entitled "Limited Liability Company Agreement of LOCAL2U, LLC." A copy of such agreement is attached hereto as Exhibit 4. The document identifies APIF, Ware and Snyder as members of LOCAL2U, LLC." SAC ¶ 22(b).;
- "In May 2023, Harrison Hayes, and agent of APIF, sent a number of email (sic.) to APIF's counsel, Ware, Snyder, and others (a copy of which is attached hereto as Exhibit 6) discussing setting up additional LLC's to operate in Virginia and Kentucky to carry forth the business of the joint venture and designating Ware as the Chief technology Officer and Snyder as CEO of such to be formed entities." SAC ¶ 23; and
- "Additionally, there are literally hundreds of emails and text messages exchanged between Hellman and other agents and employees of APIF, on the one hand, and Ware and Snyder, on the other hand, related to the day to day operations of the joint venture which were exchanged over a period of more than 2 years while the venture was in operation." SAC ¶ 23.

Plaintiff attached nine exhibits to the SAC, described briefly below. The FAC did not include any of the nine exhibits, but described the substance of Exhibits 3, 5, 7, 8, and 9.

Legal Standard

A general demurrer under Section 430.10(e) of the Code of Civil Procedure for failure to state a cause of action challenges defects that appear on the face of the pleading under attack; or from matters outside the pleading that are judicially noticeable. *Blank v. Kirwan* (1985) 39 C3d 311, 318.

“It is not necessary that the cause of action be the one intended by plaintiff. The test is whether the complaint states any valid claim entitling plaintiff to relief. Thus, plaintiff may be mistaken as to the nature of the case, or the legal theory on which plaintiff can prevail. But if the essential facts of some valid cause of action are alleged, the complaint is good against a general demurrer.” Cal. Prac. Guide Civ. Pro. Before Trial Ch. 7(I)-A (citations omitted)

“For the purpose of testing the sufficiency of the cause of action, the demurrer admits the truth of all material facts properly pleaded (i.e., all ultimate facts alleged, but not contentions, deductions or conclusions of fact or law).” Cal. Prac. Guide Civ. Pro. Before Trial Ch. 7(I)-A (citations omitted).

Discussion

Breach of Contract

This Court previously ruled that Plaintiff’s breach of contract claim failed because the facts alleged in the FAC did not demonstrate that the parties subsequently executed definitive agreements or otherwise clearly manifested mutual assent to be bound to a joint venture notwithstanding the Term Sheet’s non-binding language. The Court granted leave to amend to allow Plaintiff to allege, if possible, facts demonstrating a binding agreement independent of the Term Sheet’s non-binding provision, sufficiently definite terms, and facts addressing statute of frauds concerns.

The amendments to the SAC do not cure the deficiencies of the FAC. The SAC includes nine exhibits, which were not previously attached to the FAC:

- Exhibit 1 is PowerPoint presentation allegedly presented to APIF’s Investment Board for their approval of the joint venture, as contemplated in the Term Sheet. It does establish any agreement nor does it address any contract terms.
 - Exhibit 2 is an email that, according to Plaintiff, confirms that the APIF Investment Board approved the joint venture. However, the email does not appear to approve anything and does not even reference Plaintiff or any joint venture or other contract. Further, the emails are dated July 10, 2023 – nearly one year after the alleged PowerPoint presentation to the board, which targeted September 30, 2022 as the launch date for the project if approved.
 - Exhibit 3 is a Limited Liability Company Agreement of LOCAL2U, LLC, under Delaware law. The documents lists APIF as a “member” but does not reference or otherwise describe or identify Plaintiff at all. The effective date is August 29, 2022. This document was described in the FAC.
 - Exhibit 4 is a separate, incomplete Limited Liability Company Agreement of LOCAL2U, LLC from March of 2023. It is explicitly labeled as a “draft” and does not have an effective date. Critically, the vesting terms are left blank.
 - Exhibit 5 is LOCAL2U, LLC Designation of Authority designating Plaintiff as the Chief Technology Officer (“CTO”), effective from May 30, 2023 to December 31, 2023. The document states that the delegation may be renewed in writing. This document was described in the FAC.
-

- Exhibit 6 is an email chain with LOCAL2U's counsel which discusses establishing LLC's in Virginia and Kentucky and proposes that Plaintiff be listed as the CTO, if LOCAL2U wishes to have officers for the entities.
- Exhibit 7 is a letter written by Bob Hellman, AIP Managing Director and CEO, stating that Troy Snyder is authorized to review the grounds and parking lot areas of post offices owned by AIP in West Virginia. It does not mention Plaintiff. This document was described in the FAC.
- Exhibit 8 is an email from Bob Hellman acknowledging that Plaintiff and Troy Snyder are leading Local2U. This document was described in the FAC.
- Exhibit 9 is email from Bob Hellman instructing Troy Snyder to order essential materials and explaining they can be paid for in the term and that the SVB bank account has been a "monumental pain in the rear to set up." Plaintiff is not mentioned or included on the email. This document was described in the FAC.

"[W]here the parties understood that the proposed agreement is not complete until reduced to formal writing and signed, no binding contract results until this is done." *Louis Lesser Enterprises, Limited v. Roeder* (1962) 209 Cal.App.2d 401, 405. Here, the parties agreed pursuant to their Term Sheet, signed August 29, 2022, that the terms therein were did not constitute a binding agreement and that the parties do not intend to be bound by "any agreement until they agree to and sign definitive agreements and no party may reasonably rely on any promises inconsistent with that paragraph." RJN, Ex. 1, LOCAL2U Term Sheet..

As briefly described above, the nine exhibits do not establish an executed contract as contemplated by the Terms Sheet or a binding agreement to form a joint venture independent of the Term Sheet's non-binding provision, much less address sufficiently definite terms of any alleged agreement.

Accordingly, Defendants' demurrer is sustained as to Plaintiff's breach of contract claim.

Fraud and Negligent Misrepresentation

"In California, fraud must be pled specifically; general and conclusory allegations do not suffice." *Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.) "This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered." *Id.* (citation omitted).

As in the FAC, Plaintiff alleges that Defendants Hellman and Sick falsely told him that AFIP had the right under their leases with the Postal Service to install the flag poles on the post office properties, and that Hellman told Plaintiff APIF was able to fund the venture from APIF from partnership funds, when in fact that was questionable.

The Court ruled that Plaintiff's allegation regarding the AFIP's right to install flag polls on post office properties was contradicted by the Term Sheet, which identified as a "next step" that, upon term sheet acceptance, "applications will immediately be made . . . [t]o the USPS for approval of utilization of excess land on targeted post offices." RJN Ex. 1. The Court further ruled that Plaintiff failed adequately to plead justifiable reliance and failed to distinguish specific representations made by each Defendant, when and how they were made, and how they were false in light of the written terms. Thus, the Court

ruled to plead fraud with the required specificity. The Court ruled that Plaintiff failed to adequately plead negligent misrepresentation on those same bases.

Here, Plaintiff's only amendment regarding those claims is that the PowerPoint presentation made to APIF (SAC Ex. 1) in September of 2022, did not address applying for permits from USPS. However, as discussed above, the Terms Sheet establishes that Hellman, on behalf of APIF, disclosed to Plaintiff that it would be necessary to apply for permits from USPS to install flagpoles for the proposed venture. Thus, regardless whether permits were addressed in the PowerPoint presentation, Plaintiff was or should have been aware that application for permits was necessary and that the APIF did not have a broad right to use or modify post office property however it wished.

Accordingly, as Plaintiff's amendment to fraud and negligent misrepresentation claims has not resolved their pleading insufficiencies, the Court adopts its prior ruling as to those claims. Defendants' demurrer is SUSTAINED as to Plaintiffs' fraud and negligent misrepresentation claims.

Misappropriation of Trade Secrets

Misappropriation of a trade secrets cause of action has only two elements: (1) existence of a trade secret, and (2) misappropriation of a trade secret through improper acquisition, use, or disclosure. Civ. Code, § 3426.1(b); *Applied Medical Distribution Corp. v. Jarrells* (2024) 100 Cal.App.5th 556, 569-70.

As to the first element, a "trade secret" is information, including a formula, pattern, compilation, program, device, method, technique, or process, that satisfies two requirements: (1) independent economic value from secrecy, and (2) reasonable efforts to maintain secrecy. A trade secret is valuable because it is unknown to others; the inquiry is on whether the information is generally known or readily ascertainable to business competitors and therefore derives no value from not being generally known. Civ. Code, § 3426.1 (d)(1); *Altaian, Inc. v. Konica Minolta Systems Laboratory, Inc.* (2014) 226 Cal.App.4th 26, 61.

As to the second element, misappropriation takes two primary forms: (1) acquisition by improper means, and (2) disclosure or use without consent. Civ. Code, § 3426.1(b).

"One who seeks to protect his trade secrets from wrongful use or disclosure does not have to spell out the details of the trade secret to avoid a demurrer to a complaint. To so require would mean that the complainant would have to destroy the very thing for which he sought protection by making public the secret itself." *Diodes, Inc. v. Franzen* (1968) 260 Cal.App.2d 244, 252. "The plaintiff must nevertheless allege the ultimate facts showing the existence of a trade secret or other confidential data to state such a cause of action. An averment simply that the plaintiff has a 'secret process' is a bare legal conclusion." *Id.*

Notably, Code Civ. Proc., § 2019.210 requires that, before commencing discovery on the issue, a party pleading misappropriation of a trade secret must identify the trade secret with "reasonable particularity." Code Civ. Proc., § 2019.210. The plaintiff must make a showing that is fair, proper, just, and rational under all the circumstances, sufficient to: (1) allow the trial court to control the scope of subsequent discovery; (2) protect all parties' proprietary information; and (3) allow the parties a fair opportunity to prepare and present their best case or defense at a trial on the merits. *Advanced Modular Sputtering, Inc. v. Superior Court* (2005) 132 Cal.App.4th 826, 836.

However, the requirement under § 2019.210 is triggered at the pre-discovery stage, after the complaint is filed but before discovery begins. It is not a pleading standard imposed on demurrer. Accordingly, the Court analyzes the sufficiency of Plaintiff's pleading in the SAC under the standard in *Diodes*.

Here, Plaintiff describes the alleged trade secret as an "economically feasible methodology for providing broadband connectivity to unserved/underserved populations." SAC ¶ 52. Plaintiff further describes the trade secret as follows:

What it does: In many areas throughout the United States, consumers are unable to obtain access to broadband internet service because providing access is not economically feasible in the eyes of major providers, such as AT&T, for reasons including low population density or adverse terrain. For example, internet providers are unwilling to expend the necessary capital to install cables for internet connections into homes in sparsely populated areas due to the expense. Similarly, wireless providers are unwilling to build towers for access points for similar reasons. Ware's trade secret uses "off the shelf" technology in a unique meshed configuration that allows a consumer to connect wirelessly to high-speed internet in areas where the user does not have line of sight to a traditional transmission tower.

How it works: Ware's trade secret uses radio receivers and transmitters to extend the connectivity provided by a single wireless access point by essentially daisy-chaining receivers/transmitters, using one receiver/transmitter installed on a customer/end user's property to connect to both the access point and to the property of another customer who does not have line of sight to the access point. The access point is located on a rooftop, tower, or in the case of Local2U, a flagpole on the grounds of a post office, and "hard wired" to an internet backbone by fiber optic cable. The internet "signal" is broadcast from the access point to customers whose receivers/transmitters have line of sight to the access point. The signal is subsequently transmitted from those customers who have line of sight to the access point to additional customers who have line of sight to the first set of customers, and from those customers to other customers, and so on. Transmission from customers is relayed back to the access point using the same equipment.

The Court finds Plaintiff has pled facts sufficient to show the existence of a trade secret or other confidential data to state such a cause of action, for the purposes of a demurrer. While Plaintiff does not explicitly plead "ownership," such may be inferred from Plaintiff's allegation that he developed the technology independently, prior the events giving rise to this action. SAC ¶¶ 17(e), 19(f). Plaintiff has adequately described the alleged trade secret and claimed that that Defendants have misappropriated the trade secret by continuing to use it after Plaintiff's involuntary departure, without his consent. SAC, ¶ 54.

Accordingly, Defendants' demurrer is **OVERRULED** as to Plaintiff's claim for misappropriation of trade secrets.

Leave to Amend

"It is an abuse of discretion for the court to deny leave to amend where there is any reasonable possibility that plaintiff can state a good cause of action... But the court should deny leave to amend where the facts are not in dispute and no liability exists under substantive law... It is not up to the judge to figure out how the complaint can be amended to state a cause of action. Rather, the burden is on plaintiff to show *in what manner* plaintiff can amend the complaint, and *how* that amendment will change the legal effect of the pleading." Cal. Prac. Guide Civ. Pro. Before Trial Ch. 7(I)-A (citations omitted).

While opposing the demurrer and asking for leave to amend, Plaintiff has failed to identify any facts that Plaintiff contends Plaintiff could allege and that would cure the legal defects in the Second Amendment Complaint, which does not substantially add to the First Amendment Complaint as to the deficiencies now identified twice. Accordingly, leave to amend is tentatively DENIED.

If Plaintiff believes it is possible to address the deficiencies identified in this tentative, Plaintiff must notice and contest the tentative and appear to explain in detail what facts Plaintiff can allege to cure.

Any party who contests a tentative ruling must email Dept.11@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the defendant shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to California Rules of Court, rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the California Rules of Court. Please note that Local Rule 3.403(b)(iv) states in part "prevailing party on a tentative ruling is required to prepare a proposed order REPEATING VERBATIM the tentative ruling" (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the Court.

2:00 PM

LINE 7

25-CIV-09206

RICHARD FERNANDEZ VS. MICHAEL BOVO

RICHARD FERNANDEZ
MICHAEL BOVO

IAN A. HEAD
ROBERT K. PHILLIPS

DEFENDANT MICHAEL BOVO'S MOTION TO STAY

TENTATIVE RULING:

Defendant's Motion to Stay is DENIED. However, if the Defendant properly notices a contest and proposes a specific and/or temporary delay and/or limitation on certain discovery, the Court will seriously consider it (as well, of course, any arguments from Plaintiffs). The parties are strongly encouraged to meet and confer to discuss the matter in advance and reach a stipulated agreement as to scope/timing, including the possibility phased discovery.

As an initial matter Defendant's request for judicial notice of three exhibits is GRANTED. Evid. Code § 452(d).

The parties seem to agree that the motion is governed largely by *Pacers, Inc. v. Superior Ct.* (1984) 162 Cal. App. 3d 686 and *Avant! Corp. v. Superior Ct.* (2000) 79 Cal. App. 4th 876.

Whether to grant this stay is left to the Court's discretion. *Id.* at 882. In exercising that discretion the Court considers and balances the factors endorsed out in *Avant!*: "(1) the interest of the plaintiffs in proceeding expeditiously with this litigation or any particular aspect of it, and the potential prejudice to plaintiffs of a delay; (2) the burden which any particular aspect of the proceedings may impose on defendants; (3) the convenience of the court in the management of its cases, and the efficient use of judicial resources; (4) the interests of persons not parties to the civil litigation; and (5) the interest of the public in the pending civil and criminal litigation." *Id.* at 885.

Defendant relies largely on the fact that he is being prosecuted for the same acts that form the basis of this civil lawsuit. But in the Court's view, that is not enough and Defendant does not articulate any particularized burden.

As is likely almost always the case, the first factor favors the plaintiffs. The incident giving rise to this lawsuit occurred a year and half ago and this case is already almost eight months old. There is no trial set in the criminal case, which includes serious charges, and no indication as to when the criminal matter might be resolved. Were Defendant to take the criminal matter to trial and lose and appeal, it could be years before the criminal matter is resolved. Again, as is likely almost always the case, the second factor favors the defendant, but "it is not unconstitutional to force a litigant to choose between invoking the fifth amendment in a civil case, thus risking a loss there, or answering the questions in the civil context, thus risking [] criminal [consequences]." *Id.* The third factor slightly favors plaintiffs. While perhaps there will be additional discovery fights that would not occur were the case stayed, delay will negatively impact the Court's docket and is inconsistent with policies favoring timely resolution of cases. The fourth factor appears inapplicable here. And the Fifth factor slightly favors Plaintiffs as it is unclear to the Court how proceeding could negatively impact the public's interest in the criminal litigation.

Accordingly, the Court exercises its discretion and denies the motion.

Any party who contests a tentative ruling must email Dept.11@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the prevailing party shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to California Rules of Court, rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the California Rules of Court. Please note that Local Rule 3.403(b)(iv) states in part "prevailing party on a tentative ruling is required to prepare a proposed order REPEATING VERBATIM the tentative ruling" (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the Court.

2:00 PM

LINE 8

26-UDL-00587

THE JOHN STEWART COMPANY VS. LINDA CHRISTINA LUCERO MENDIETA

THE JOHN STEWART COMPANY
LINDA CHRISTINA LUCERO MENDIETA

MERCEDES A. GAVIN
PRO/PER

PLAINTIFF'S MOTION TO COMPEL AND FOR FEES

TENTATIVE RULING:

Plaintiff The John Stewart Co.'s ("TJS") Motion to Compel Defendant Linda Christina Lucero Mendieta ("Defendant")'s Responses to Discovery, Deem Admitted Requests for Admissions, and Request for Sanctions is **conditionally** GRANTED, subject to its (ability to) compl(iance) with the immediate next paragraph.

As an initial matter, Code of Civil Procedure sections 2030.020, subdivision (c), 2031.020, subdivision (c) and 2033.020, subdivision (c) provide that, in an unlawful detainer action, a plaintiff may propound interrogatories, make a demand for inspection or make a request for admissions by a party at any time that is 10 days after service of the summons on, or appearance by, that party, whichever occurs first. While the timing of the discovery in the context of the filing of the case suggests that it is likely timely, in this case, plaintiff has not yet filed proof of service of the summons. And, defendant answered on June 5, 2025 with the discovery at issue served by plaintiff just 4 days later. So for this motion to be granted, Plaintiff must establish that the discovery was timely by filing a proof of service of the summons/complaint that demonstrates the discovery was served at least 10 after the service of summons and emailing a courtesy copy to Department 11 (dept11@sanmateocourt.org) **by 12 p.m. on July 6, 2027**. If Plaintiff fails to do so, the Motion will be denied without prejudice. The remainder of this tentative assumes that Plaintiff can and will do so.

In an unlawful detainer proceeding, responses to interrogatories, inspection demands, and requests for admission must be served five days from service of the requests. Code Civ. Proc. § 2030.260 (b), § 2031.260 (b), § 2033.250 (b). If timely responses to interrogatories or inspection demands are not served, the responding party waives any objection to the interrogatories or demands and the propounding party may move for an order compelling responses. *Id.* § 2030.290 (a) & (b) and § 2031.300 (a) & (b). If timely responses to request for admission are not served, the responding party waives any objection to the requests and the propounding party may move for an order deeming the truth of the matters specified in the requests admitted. *Id.* § 2033.280 (a) & (b). A court must grant this latter order unless it finds that a proposed response to the requests that substantially complies with Code of Civil Procedure sections 2033.220 has been served. *Id.* § 2033.280 (c).

TJS presents evidence that it served its respective first sets of form interrogatories, inspection demands, and requests for admission on Defendant by express mail on June 9, 2026. Jun. 23, 2026 Declaration of Mercedes A. Gavin ("Gavin Decl.") ¶¶ 2–5, exhs. 1–4. Defendant's responses were therefore due no later than June 16, 2026. Code Civ. Proc. § 1013 (b) (service by express or overnight mail extends deadline by two court days). As of June 23, 2026, Defendant had not served any responses, and there is no indication any responses have been served since. Gavin Decl. ¶ 6.

Accordingly, Defendant is ordered to provide responses without objections to the interrogatories and inspection demands served upon her by TJS on June 9, 2026, no later than five (5) days after service of written notice of entry of a formal order. In addition, the truth of the matters in TJS's first set of requests for admissions, as set forth in attachment 1 to exhibit 3 of the supporting declaration, is hereby deemed admitted by Defendant.

TJS also requests the imposition of monetary sanctions against Defendant for her failure to respond to discovery. While TSJ's memorandum of points and authorities only cites the statutes requiring monetary sanctions for an unsuccessful opposition to a motion to compel, failing to respond or to submit to an authorized method of discovery is the epitome of a misuse of the discovery process supporting the imposition of monetary sanctions. Code Civ. Proc. § 2023.010 and § 2023.030 (a).

TJS presents evidence showing it incurred reasonable expenses of \$585.00—in the form of \$525.00 in attorney fees and \$60.00 to bring the instant motion—as a result of Defendant's misuse of discovery. Accordingly, Defendant is ordered to pay \$585.00 in monetary sanctions to TJS no later than thirty (30) days after service of written notice of entry of the formal order.

Any party who contests a tentative ruling must email Dept.11@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the prevailing party shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to California Rules of Court, rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the California Rules of Court. Please note that Local Rule 3.403(b)(iv) states in part "prevailing party on a tentative ruling is required to prepare a proposed order REPEATING VERBATIM the tentative ruling" (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the Court.

2:00 PM

LINE 9

26-UDL-00598

THE JOHN STEWART COMPANY VS. ELIANA MEDINA

THE JOHN STEWART COMPANY
ELIANA MEDINA

MERCEDES A. GAVIN
PRO/PER

PLAINTIFF'S MOTION TO COMPEL AND FOR FEES

TENTATIVE RULING:

Plaintiff The John Stewart Co.'s ("TJS") Motion to Compel Defendant Eliana Medina ("Defendant")'s Responses to Discovery, Deem Admitted Requests for Admissions, and Request for Sanctions is **conditionally** GRANTED, subject to its (ability to) compl(iance) with the immediate next paragraph.

As an initial matter, Code of Civil Procedure sections 2030.020, subdivision (c), 2031.020, subdivision (c) and 2033.020, subdivision (c) provide that, in an unlawful detainer action, a plaintiff may propound interrogatories, make a demand for inspection or make a request for admissions by a party at any time that is 10 days after service of the summons on, or appearance by, that party, whichever occurs first. While the timing of the discovery in the context of the filing of the case suggests that it is likely timely, in this case, plaintiff has not yet filed proof of service of the summons. And, defendant answered on June 5, 2025 with the discovery at issue served by plaintiff just 4 days later. So for this motion to be granted, Plaintiff must establish that the discovery was timely by filing a proof of service of the summons/complaint that demonstrates the discovery was served at least 10 after the service of summons and emailing a courtesy copy to Department 11 (dept11@sanmateocourt.org) **by 12 p.m. on July 6, 2027**. If Plaintiff fails to do so, the Motion will be denied without prejudice. The remainder of this tentative assumes that Plaintiff can and will do so.

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written notice of entry of a formal order. In addition, the truth of the matters in TJS's first set of requests for admissions, as set forth in attachment 1 to exhibit 3 of the supporting declaration, is hereby deemed admitted by Defendant.

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If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the prevailing party shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to California Rules of Court, rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the California Rules of Court. Please note that Local Rule 3.403(b)(iv) states in part "prevailing party on a tentative ruling is required to prepare a proposed order REPEATING VERBATIM the tentative ruling" (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the Court.

